

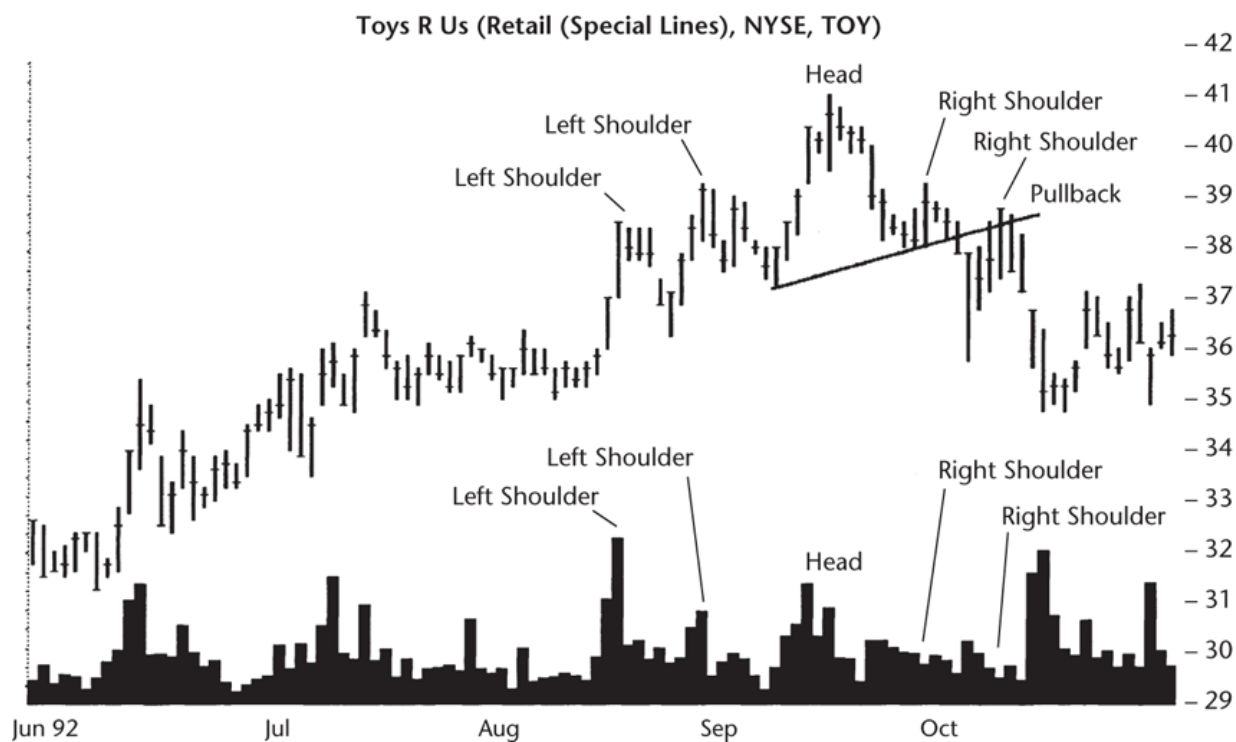


Figure 41.3 A complex head-and-shoulders top pattern. The chart shows the wide variation that a head-and-shoulders formation can take.

Look for two shoulders that peak below the top of a central peak. That central peak is the head.

Symmetry. Even though the pattern shown in [Figure 41.3](#) is odd because of the extra shoulders, it does appear symmetrical. The two left shoulders are at about the same price level as the corresponding two right shoulders. Each of the shoulders is approximately the same distance from the other and from its mirror opposite. In the chart pattern, the head is centrally located. The symmetrical appearance of a head-and-shoulders top is one of its key identification characteristics and helps separate any three bumps from a valid head-and-shoulders chart pattern.

Let's ignore the two outer shoulders and concentrate on the two inner shoulders and the head. Those three make up the head-and-shoulders top chart pattern.

Volume. Volume obeys the following general characteristic: It is higher on the left shoulder than on the head, and higher on the head than on the right shoulder. The volume pattern changes somewhat since the left shoulder has diminished volume compared to the head. Even so, the volume on the left